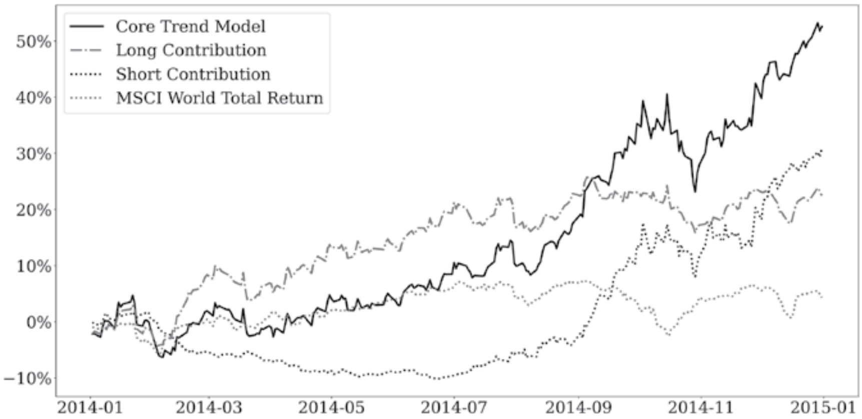

FIGURE 6.75 **Strategy performance 2014.**

Given what's at stake here, we have real nail biter of a start of the year. First, we swiftly move up 5%, and then we lose it and more (Figure 6.75). By February, we're down about 5% on the year, and you would be forgiven for updating your LinkedIn profile and browsing job ads. But from there, things slowly improve. We track the equity index quite well all the way up to +10% in late summer, when something really interesting starts happening. We start outperforming in a big way. While the stock market index continues sideways, we move up and we move up fast. There was a brief scare in October when we had a couple of weeks of sharp losses, but they were quickly recovered and then some. At the end of this year, we gained over 50% and this is during a nearly flat year in the stock markets. We're back! It was a scary couple of years, but after this 50% return, we've proved not only that we can generate strong absolute return, but that we can be uncorrelated to the stock markets. As much as investors dislike it when you fail to perform in a bull market, they love it even more when you do perform in a bear market.

Since the stock markets didn't perform well this year, clearly other sectors were driving our returns. We did in fact lose quite a lot on our equity sector trades, but all other sectors performed remarkably well (Figures 6.76–6.78). We lost 20% on stocks, but gained enough on the rest for a total of +53% on the year. The agricultural sector performed well all year, but it was in the second half of the year when currencies and non-agricultural positions really took off.